

meaning your interest in the property can be lost. Title is complicated, so make sure your contract allows you to back out in case of a title emergency.

Once you receive your title commitment after going under contract, read it carefully. You should direct any questions to the title representative and continue asking until you understand exactly what the title document is saying.

Seller Disclosures

The seller is legally required to disclose any known material defects about a property, whether or not they have lived in the property recently or at all. A material defect is basically anything that will cost a lot of money to repair—like a leaking roof, broken foundation, mold, termites...the list goes on and on.

Sellers are asked to fill out a property disclosure form, but not all states require them to do so. Protect yourself and your investments by specifically asking in writing any questions to which you need the answer. If something is a deal breaker, ask for complete clarification so there are no surprises after you own the property. (Our own personal advice to *sellers* is to disclose everything, since the buyers can come back to take legal action if you don't.)

Fun fact: Death in the home does not always have to be disclosed. This varies from state to state, with some states never requiring death disclosure—even in sensational, well-known cases—while other states require minimal disclosure. If this or anything else is important to you, ask the seller to disclose it in your contract.

Due Diligence Documents

Unless you're trashing the appliances and mechanical systems, this section is where you will ask for the manuals and maintenance logs for everything. Request information about any warranties on the roof, windows, siding, heating and cooling systems, plumbing, electrical system, and appliances.

You should also ask for copies of previous utility bills to get an idea of the cost to power and run the home. (If your seller doesn't have copies of past bills, they can get them from the utility company. No excuses here.) If your contract doesn't have a separate section for HOA documentation, you should ask for that information here as well.